

#7: Invest in what you understand and ignore the rest

The final strategy that female investors employ is being honest with themselves and only investing in what they understand. This is not to say male investors understand more — but if both groups are equally ignorant about a new investment class, male investors are still more willing to try it out than female investors.

For example, female investors will invest in assets such as cryptocurrencies, but on a lower scale and keep it to a smaller percentage of their overall portfolio.

It's a concept that Warren Buffett himself employs; he openly admits that he doesn't invest in many tech companies because he does not understand them. While this may have kept him out of some big gains from tech booms, it has also protected him from the Dotcom Bubble in the early 2000s (mentioned in [chapter 2](#)), where people were investing in any company with '.com' in its name.

Five rules of investing like a girl

When researching companies to invest in, there are five rules to employ to help you invest 'like a girl' (or like Warren Buffett), as outlined in [table 9.1](#).